PMBA6023 Risk Management

HKU Business School
The University of Hong Kong
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Pre-requisites: Corporate Finance
Class Hours: 6:30pm-9:45pm on July 15 and 17
9:30am-5:00pm on July 12, 19, 26 and Aug 02
Venue: Admiralty Centre

Course Description and Objectives

In today's rapidly evolving global economy, effective risk management is no longer optional. It is a critical component of sustainable business success. This course equips students with the knowledge and skills to identify, measure, and mitigate risks that can impact firm value and operational stability. By mastering financial instruments, strategic frameworks, and quantitative models, students will gain insights into how financial risk management drives decision-making and enhances long-term competitiveness for organizations.

Risk is inherent in every aspect of business, from market volatility to credit uncertainty and even climate-related disruptions. It is unavoidable yet manageable. Companies that proactively manage risk not only protect their assets but also unlock opportunities to innovate and grow. This course emphasizes the strategic importance of financial risk management as a tool for value creation, demonstrating how it empowers businesses to navigate uncertainty while maintaining resilience and profitability.

This course has a heavy focus on the financial modeling of risk and the effective use of the various financial products for risk management. In particular, the course will focus on:

- Identification and measurement of a firm's exposures to financial risks
- Use of financial instruments in managing the firm's exposure to risks
- Implementation of risk management program

The topics to be discussed consist of three parts and can be outlined as follows:

I. The Role of Risk Management	• Why Manage Risk • Impact of risk management on firm value
II. ***Risk Analysis and Risk Management Toolkit***	• Identifying and Measuring Risk • Financial Instruments for Hedging • Vale-at-Risk • Framework of Risk Analysis and Risk Management • Credit Risk
III. ***Corporate Risk Management***	• Key ESG notions • Operational Risk (Fraud risk, Cyber Risk) • Risk Management and Corporate Strategy

Course Learning Outcomes (CLOs)

At the end of the course, students should be able to understand the nature and the use of different risk management tools and instruments, be able to identify and measure a firm's exposure to risks, apply the various financial instruments in managing the firm's risk exposure, and be able to implement effective risk management program.

1. Understand the concepts of risk
2. Understand the impact of risk management on a firm's value
3. Identify and evaluate a firm's exposure to financial risks.
4. Understand the properties of different financial tools for risk management
5. Apply financial instruments to hedging market and credit risks
6. Assess the impact of risk management on corporate strategy
7. Evaluate risk management objectives and formulate corresponding risk management program

Programme Learning Outcomes

PLO1	Acquisition of quantitative techniques in interdisciplinary fields between finance and other appropriate disciplines including but not limited to science, technology, engineering, and mathematics
PLO2	Application and integration of interdisciplinary knowledge and skills to identify and tackle practical problems, and design innovative products and systems with international standards and global vision
PLO3	Inculcating leadership, professional ethics and competence in finance and relevant interdisciplinary fields
PLO4	Mastering communication skills

Alignment of Programme and Course Learning Outcomes

Programme Learning Outcomes	Aligned Course Learning Outcomes
PLO1	CLOs 1-6
PLO2	CLOs 1-6
PLO3	CLOs 1-6
PLO4	CLO4
PLO5	CLO5

Teaching and Learning Activities

The course will consist of lectures covering the theories and concepts of the different kinds of risk and risk management tools and case discussions requiring students to apply the tools and concepts to managing risks.

Course Teaching and Learning Activities	Expected Contact Hour	Study Load (% of Study)
T&L 1: Lectures	30	25%
T&L 2: Readings	30	25%
T&L 3: Case Analysis	30	25%
T&L 4: Study and Review	30	25%
Total	120	100%

Assessment and Grading Policy

Performance assessment will be based on one individual assignment, one group case presentation with report, case discussions and a take-home final exam to be given at the end of the course. The final course grade will be adjusted for attendance.

Assessment Methods	Weight	Aligned Course Learning Outcomes
A1. Participation	10%	CLO 1-7
A2. ONE Individual Assignment	20%	CLO 1-3
A3. One Group Case Presentation with Report	30%	CLO 1-7
A4. Take-Home Final	40%	CLO 1-7

- ***Individual Assignment*: Assessing a Company's Future Financial Health**
- ***Group Case Presentation and Report:***
    1. **Paramount Equipment**
    2. **Hedging at Porsche**
    3. **The Church Key: Unlocking Success**
    4. **Cathay Pacific: Balancing Inherent Risks and ESG Concerns**
    5. **Managing AI risks in Consumer Banking**

For group case presentations, the class will be divided into **5 groups of up to 7 people** each.

Important Deadlines

- Individual Assignment: By 23:59 on **August 9 (Saturday)**
- Group Case Presentation with Group Case Report: ***August 02 (Saturday)***
- ***Due date for the take-home Final: By 23:59 on August 14 (Thursday)***

Assigned Readings

The assigned readings include the following articles:

1. 18th Emerging Risks Survey Report 2025
2. Overview of Risk and Risk Management
3. Why Manage Risks
4. Introduction to Derivatives
5. Downside Risk and Portfolio Choice*
6. Exposure and Hedging
7. Six ways companies mismanage risk
8. Value at Risk
9. Understanding Corporate Value at Risk
10. Managing Risks A New Framework
11. Fraud Risk Management: A Small Business Perspective
12. What Really is ESG
13. How Aggressively Should a Bank Pursue AI?

References

- "Risk Management and Financial Institutions"; 4rd Edition, JOHN HULL, Wiley
- Brealey, Richard A., Stewart C. Myers, and Franklin Allen. ***Principles of Corporate Finance***. Boston, MA: McGraw-Hill.
- McDonald, Robert. ***Derivatives Markets***. Reading, MA: Addison-Wesley

Course Grade Descriptors	
A+, A, A-	• All aspects were addressed and researched in great depth. • Demonstrates a clear understanding of and the ability to apply and theory, concepts and issues relating to the topic. • Able to clearly identify the most critical aspects of the task and adopt a critical perspective. • All aspects conform to a high academic / professional standard
B+, B, B-	• Most aspects were addressed and researched in depth. • Demonstrates a good understanding and some application of the theory and issues relating to the topic. • Able to identify critical aspects of the task and adopt a critical perspective. • Most aspects conform to a high academic / professional standard.
C+, C, C-	• Most aspects were addressed and researched adequately. • Demonstrates a good understanding of the theory, concepts and issues relating to the topic but limited application relating to the topic. • Most aspects conform to an acceptable academic / professional standard.
D+, D	• Basic aspects were addressed and researched adequately. • Demonstrates mainly description, showing basic understanding of the topic but no application. • Limited aspects conform to academic / professional standards.
F	• Basic aspects were superficial, inadequate or absent. • Demonstrates limited understanding of the topic and draws conclusions unrelated to the topic. • The written work is not of an academic / professional standard."

Assessment Rubrics for Case Assessments

Case Assignments: The criteria of assessment can be broadly divided into four aspects: (1) Ability to identify the key issues in the case with priority (25%); (2) Ability to provide an in-depth analysis of the key issues by applying the concepts and theories learnt in lectures as well as the perspectives acquired from the assigned readings (25%); (3) Ability to provide a well-justified decision on the key issues (25%); and (4) Ability to present and report the analysis and decision-makings in a professional manner with high level of clarity and readability (25%)

Academic Honesty and Integrity

The University Regulations on academic dishonesty will be strictly enforced. Please check the University Statement on plagiarism on http://www.hku.hk/plagiarism/.

Course Schedule

Date	Topics and Readings
Lecture 1 July 12 (Saturday) 9:30pm – 12:30pm	**Introduction** **Why Risk Management** *Readings:* • A1. 18th Emerging Risks Survey Report 2025 • A2. Why Manage Risks • A3. Overview of Risk and Risk Management
Lecture 2 July 12 (Saturday) 2:00pm – 5:00pm	**Market Products for Risk Management** *Readings:* • A4. Introduction to Derivatives
Lecture 3 July 15 (Tuesday) 6:30pm – 9:45pm	**Risk Measure and Risk as Opportunity** *Readings:* • A5. Downside Risk and Investment Choice
Lecture 4 July 17 (Thursday) 6:30pm-9:45pm	**Identifying and Measuring Risk** *Readings:* • ***Case*** *on* "Assessing a Firm's Future Financial Health" • A6. Exposure and Hedging
Lecture 5 July 19 (Saturday) 9:30am – 12:30pm	**Strategic Considerations for Financial Risk Management** Readings: • A7. Six Ways Companies Mismanage Risk
Lecture 6 July 19 (Saturday) 2:00pm – 5:00pm	**Value-at-Risk Framework** *Readings:* • A8. Value at Risk • A9. Understanding Corporate Value at Risk

Date	Topics and Readings
Lecture 7 July 26 (Saturday) 9:30am – 12:30pm	**Credit Risk** **Readings:** • The Church Key: Unlocking Success
Lecture 8 July 26 (Saturday) 2:00pm – 5:00pm	**Operational Risk and ESG** *Readings:* • A10. Managing Risks: A New Framework • A11. Fraud Risk Management: A Small Business Perspective • A12. What Really is ESG • A13. How Aggressively Should a Bank Pursue AI?
Lecture 9 Aug 02 (Saturday) 9:30am – 12:30pm	**Case Presentations: Financial Distress and Hedging** **1. Paramount Equipment** **2. Hedging at Porsche** *Readings for Discussion*: • **Case: Paramount Equipment** • **Case: Hedging at Porsche**
Lecture 10 Aug 02 (Saturday) 2:00pm - 5:00pm	**Case Presentation: Credit Risk** **3. Case: The Church Key: Unlocking Success** **Case Presentations: ESG and AI Risks** **4. Cathay Pacific: Balancing Inherent Risks and ESG Concerns** **5. Managing AI risks in Consumer Banking** *Readings for Discussion:* • **Case: Cathay Pacific: Balancing Inherent Risks and ESG Concerns** • **Case: Managing AI risks in Consumer Banking**